

A stronger renewal. Service continuity protected.

A field-services renewal was on course to roll forward historical rates. Rebuilding the supplier's economics from the cost drivers up moved the negotiation onto what the service should cost — and secured roughly £2M of total-cost optimisation with the incumbent retained.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Telecommunications	In-house category ownership · BT Group	Category & sourcing manager — renewal and negotiation	6 months

THE SITUATION

- A multi-year regional service-delivery contract was approaching renewal with no refreshed cost baseline behind it.
- Rates had been accepted historically, with limited visibility of the supplier's underlying cost build-up, so the renewal risked simply carrying inflated pricing forward.
- Savings could not come at the cost of continuity — pressing a regional incumbent too hard put field-service delivery at risk.

MY CONTRIBUTION

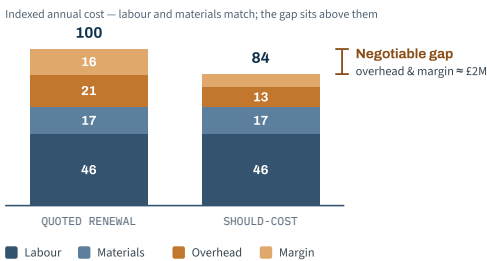
I led the renewal end to end: building the should-cost model from first principles across labour, productivity, materials, overhead and a fair margin; constructing a total-cost view that priced mobilisation, travel, service-level credits and rework; setting the negotiation strategy and walk-away position; and leading the supplier negotiation to close.

THE JUDGMENT THAT MATTERED

The negotiation that mattered was about complete service economics, not the headline day rate. A lower rate would have meant little if mobilisation, rework or delivery disruption pushed total cost back up — so the ask was sequenced to protect continuity while still taking the margin gap.

EXHIBIT 1 Should-cost build-up against the quoted renewal

Indexed annual cost, by cost element · directional



SO WHAT

The gap was not in labour rates — it sat in overhead and margin above a defensible build-up, which is precisely what made it negotiable rather than a market price to accept.

EXHIBIT 2 Total-cost optimisation, quote to signed contract

£M, annual contract value · directional



SO WHAT

The optimisation came from several levers rather than one: the rate gap plus the costs the day rate hides — travel, mobilisation, SLA and rework — compounded to roughly £2M.

WHAT THE WORK DELIVERED

- Approximately £2M of total-cost optimisation locked into the renewed contract across multiple levers.
- A defensible should-cost baseline left with the team, reusable to anchor the next renewal.
- The incumbent retained and field-service continuity protected through a phased, evidence-led negotiation.
- Full total-cost visibility established across rates, travel, mobilisation, service levels and rework.

HEADLINE

~£2M

total-cost optimisation secured